Mathan retires on 31st March, 2017 subject to the following conditions:

(i) Rajsh and Sathish will share profits and losses in the ratio of 3:2

(ii) Assets are to be revalued as follows:
Machinery ₹ 3,90,000, Stock ₹ 2,90,000, Debtors ₹ 1,52,000.

(iii) Goodwill of the firm is valued at ₹ 1,20,000

Prepare necessary ledger accounts and the balance sheet immediately after the retirement of Mathan.

(Answer: Revaluation loss: ₹ 48,000; Mathan loan: A/c ₹ 2,82,000;
Rajesh's capital A/c: ₹ 4,24,000; Sathish capital A/c: ₹ 3,16,000;
Balance sheet total: ₹ 12,52,000)

Death of a partner

20. Janani, Janaki and Jamuna are partners sharing profits and losses in the ratio of 3:3:1 respectively. Janaki died on 31st December, 2017. Final amount due to her showed a credit balance of ₹ 1,40,000. Pass journal entries if,

(a) The amount due is paid off immediately.

(b) The amount due is not paid immediately.

(c) ₹ 75, 000 is paid and the balance in future.

21. Varsha, Shanthi and Madhuri are partners, sharing profits in the ratio of 5:4:3. Their balance sheet as on 31st December 2017 is as under:

Balance Sheet as on 31st December 2017

Liabilities	₹	₹	Assets	₹
Capital accounts:			Premises	1,20,000
Varsha	80,000		Stock	40,000
Shanthi	60,000		Debtors	50,000
Madhuri	20,000	1,60,000	Cash at bank	18,000
General reserve		48,000	Profit and loss A/c (loss)	12,000
Sundry creditors		32,000		
		2,40,000		2,40,000

On 1.1.2018, Madhuri died and on her death the following arrangements are made:

(i) Stock to be depreciated by ₹ 5,000

(ii) Premises is to be appreciated by 20%

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